

LAKSH'S DAILY BRIEF

Laksh's Morning Brief: August 27, 2026

Thursday, August 27, 2026

World · Markets & Money · AI & Infrastructure · Models & Research



BBC World — 'Silence is complicity' - top footballer hits out over Cameroon femicides



BBC World — Board of Peace's Gaza envoy criticises Israeli strikes and Hamas actions



Al Jazeera — Champions League draw LIVE: 2026-27 league phase fixtures, schedule

1. World & Geopolitics

Iran war: Regional powers scramble for an off-ramp as Hormuz threat persists. The Strait of Hormuz (the narrow waterway through which about 20% of the world's oil passes) has been cleared of mines by US Central Command, according to a US official ([Jerusalem Post](#)). But the underlying conflict is far from resolved. Regional powers are actively seeking a way out of the war with Iran, with another tanker attack reported in the Strait and Tehran dismissing Washington's latest sanctions ([Greenwich Time](#)). The US has indicated it will hold off on Iran strikes "for now," per Secretary of State Rubio ([Jerusalem Post](#)). Meanwhile, the war is having ripple effects far beyond the region: the Carnegie Endowment reports that the Iran war has sparked a domestic crisis in Kenya, where fuel price spikes and trade disruptions are fueling unrest ([Carnegie](#)). The Gaza ceasefire is also at risk, with France warning that advancing settlement plans threaten both the truce and the two-state solution ([Arab News](#)). The UN's Gaza envoy warned that a collapse of the ceasefire would be "a point of no return" ([BBC](#)). **Why it matters:** The situation in the Middle East remains the single biggest geopolitical risk to energy markets. The mine-clearing is a positive step, but the tanker attack and Iran's defiance show that the war risk premium (the extra cost built into oil prices because of the danger of supply disruption) could return at any moment.

US-China tensions escalate on multiple fronts. The US is investigating Apex Logistics for allegedly smuggling Nvidia chips to China in violation of export controls ([qz.com](#)). Separately, the US is considering a

fresh round of tariffs on semiconductors, according to reports ([CNBC](#)). The US also exposed a major alleged Chinese cyber-espionage campaign that compromised federal agencies including NASA, the Federal Reserve, and the Department of Justice ([CNN](#)). A senior US official confirmed the probe. Amid this, Chinese Foreign Minister Wang Yi called for the US and China to "overcome obstacles" ahead of an expected summit between President Trump and President Xi Jinping next month ([San Francisco Chronicle](#)). **Why it matters:** These are three separate but reinforcing pressure points: chip export controls, tariffs, and cyber espionage. Each one makes the other more politically charged. The summit could be a moment of de-escalation, but the investigations and tariff threats suggest the US is hardening its stance.

Russia-Ukraine: No peace in sight. Negotiations for a ceasefire have reached a dead end, and Russia is preparing to escalate attacks on Ukraine, according to sources close to the Kremlin ([Military.com](#)). Meanwhile, Ukraine, the US, and Europe have developed a new ceasefire plan that includes a buffer zone, according to The Times ([uatv.ua](#)). But with Russia dismissing the current talks, the plan faces long odds. **Why it matters:** A renewed Russian offensive would put further pressure on European energy markets and defense budgets, and could complicate the global economic outlook.

India and China agree on border management roadmap. The two countries held the 25th round of special representative talks on the boundary question in

Beijing, agreeing on an eight-point roadmap to strengthen border management ([Asia News Network](#)). Global Times commentary suggests that US influence on India-China relations is fading, and that the two sides are managing their own disputes ([Global Times](#)). **Why it matters:** This is a quiet but important development. If India and China can stabilize their border, it reduces the risk of a second front for either country, and it may allow India to focus more on its own economic growth and less on military readiness.

US-Canada trade war intensifies. Canada is striking back at US tariff demands, with threats to hockey sticks and other goods, according to The Guardian ([The Guardian](#)). The US stock market has been holding steady despite the tensions, but the trade spat adds uncertainty to an already complex global trade picture ([Yahoo Finance](#)).

Meta reaches \$17 billion settlement with states. Meta (Facebook's parent) has agreed to pay \$17.1 billion and

make app changes to settle a landmark social media addiction case with 47 US states ([CNBC](#)). The settlement is the largest ever for a social media case, but Meta still faces other lawsuits and potential regulation. The company is already spinning the deal to its advantage, arguing that it should take TikTok and YouTube down with it ([The Verge](#)). **Why it matters:** The settlement removes a massive legal overhang for Meta, but it also sets a precedent that could lead to more regulation of social media platforms. Investors read this as reducing risk, but the legal headaches are not over.

Other notable stories: Ratko Mladic, the Bosnian Serb warlord convicted of genocide, died at 84 ([BBC](#)). Ghana has banned the export of unrefined gold to capture more value domestically ([France 24](#)). A British-Egyptian woman is being held in Cairo over her sister's activism, prompting calls for UK intervention ([The Guardian](#)). At least eight women have been killed in a week in Cameroon, sparking outrage ([BBC](#)).

2. Markets, Money & Deals

Nvidia earnings: Revenue doubles, stock jumps 7%. Nvidia's quarterly revenue hit \$96.2 billion, more than double last year, and the company gave a strong outlook that reassured investors that AI demand remains robust. The stock rose 7.63% in the quote snapshot, continuing its surge to new highs ([CNBC](#), [Ynetnews](#)). One analyst now thinks Nvidia could reach \$1 trillion in annual revenue ([MarketWatch](#)). The company also laid out plans for Rubin, AI CPUs, specialized inference, and massive data center investment. **Why it matters:** Nvidia's earnings are the single most important event for the AI infrastructure trade. The strong result confirms that the hyperscalers (Microsoft, Amazon, Google, Meta) are still spending aggressively on AI compute, which supports the entire supply chain of chipmakers, networking, and power companies.

Nvidia to buy Hugging Face for \$12.9 billion. Nvidia has agreed to acquire Hugging Face, the leading open-source AI platform, according to reports ([CNBC](#), [Fortune](#)). The deal would give Nvidia control over the most popular repository for open AI models, code, and datasets. Hugging Face is reportedly also catching Nvidia's eye for its potential to drive adoption of Nvidia's hardware ([MarketWatch](#)). The reaction in the open-

source community is mixed, with some worrying that Nvidia's ownership could compromise the platform's independence ([r/LocalLLaMA](#)). **Why it matters:** Hugging Face is a critical layer of the AI stack. By owning it, Nvidia can shape how open models are distributed, optimized, and monetized, potentially locking developers into its ecosystem.

Salesforce jumps 18% on AI growth and Anthropic stake. Salesforce reported strong earnings, driven by its AI products and a gain from its investment in Anthropic. The stock surged 18% ([CNBC](#)). The results also pushed back on fears that AI is killing traditional software, showing that legacy vendors can partner with AI model operators ([MarketWatch](#)). **Why it matters:** Salesforce's success with AI is a positive signal for enterprise software companies that are integrating AI features. It suggests that the "AI buy vs. build" decision is not a zero-sum game against the hyperscalers.

CrowdStrike and Okta surge on AI-driven cyber demand. CrowdStrike (CRWD, cybersecurity company) jumped 11% on record quarterly revenue, and Okta (OKTA, identity management) surged 20%. Both companies cited rising threats from frontier AI as a driver of customer spending ([CNBC](#), [CNBC](#)). **Why it matters:**

Cybersecurity is becoming a direct beneficiary of the AI boom, as adversarial AI tools increase the need for protection. This is a theme that could persist as AI adoption grows.

Best Buy beats estimates, hikes outlook, but stock falls. Best Buy's quarterly results beat expectations, and the company raised its full-year outlook. However, the stock fell, likely because the market had already priced in the good news (a classic "sell the news" pattern) ([CNBC](#)). **Why it matters:** Consumer electronics retailers like Best Buy are a bellwether for consumer spending. The beat suggests consumers are still buying electronics, but the stock reaction shows that investors are focused on forward guidance, not past results.

Fed's Hammack says "now is the time to act" on raising rates. Cleveland Fed President Beth Hammack argued that the Fed needs to raise interest rates to combat inflation that is straining household budgets ([CNBC](#)). This is a hawkish (pro-rate-hike) voice from within the Fed, contradicting the market's expectation of rate cuts. Separately, new Fed Chair Kevin Warsh is under pressure to clarify his views on inflation and interest rates ahead of his first Jackson Hole speech ([ABC News](#)). **Why it matters:** The Fed's direction is the

single biggest macro factor for markets. A potential rate hike would raise borrowing costs for everything from mortgages to data center construction, and would likely depress stock valuations.

Copper hits a record high. Copper, the industrial metal used extensively in wiring, construction, and data centers, hit a new all-time high. One ETF tracking copper is up nearly 20% in August, on pace for its best month on record ([MarketWatch](#)). **Why it matters:** Copper is a "Dr. Copper" indicator of economic health. Its rally is driven by AI data center demand, electrification, and supply constraints. This is a tailwind for miners and a cost headwind for construction.

Other notable moves: Family offices are making a bullish bet on stocks, according to a CNBC tracker representing \$1.4 trillion in assets ([CNBC](#)). Victory Capital is acquiring First Eagle to create a \$571 billion asset management giant ([The TRADE](#)). Ray Dalio says Bessent's bond buyback signals a debt crisis is getting closer, and recommends gold and bitcoin ([CNBC](#)). Bernstein analysts say bitcoin could double by next year and reach \$500,000 by the end of the decade ([MarketWatch](#)).

3. AI & Infrastructure

Nvidia's earnings confirm the AI buildout is accelerating. Revenue doubled to \$96.2 billion, and the company outlined plans for its next-generation Rubin architecture, AI CPUs, and specialized inference chips. Amazon also revealed it tripled its order of Nvidia chips over "surging demand," adding 2 million GPU chips to its data centers over the next two years ([TechCrunch](#)). **Why it matters for the buildout:** The hyperscalers are not slowing down. Every new data center needs GPUs, networking (interconnects, optics), power, and cooling. The Nvidia earnings and Amazon's order are strong signals that the infrastructure cycle has years left to run.

Nvidia's Hugging Face acquisition: a play for the developer ecosystem. By buying Hugging Face, Nvidia gains control of the most popular platform for open AI models. Hugging Face hosts models, datasets, and provides tools for training and inference. Nvidia can optimize its hardware for the models on Hugging Face, and potentially steer developers toward its own software

stack. The deal is worth \$12.9 billion, a huge sum but one that reflects the strategic value of the platform ([CNBC](#)). **Why it matters for the buildout:** The open-source AI community is a major driver of demand for Nvidia's GPUs. By owning the platform, Nvidia can ensure that open models are optimized for its hardware, potentially locking out competitors like AMD and Intel.

US probes chip smuggling to China, considers semiconductor tariffs. The US is investigating Apex Logistics for allegedly smuggling Nvidia chips to China, and separately considering fresh tariffs on semiconductors ([qz.com](#), [CNBC](#)). These actions are part of the broader US-China tech war. **Why it matters for the buildout:** Tighter export controls could reduce Nvidia's sales to China, but they also accelerate China's push for domestic chip production. Chinese labs like Z.ai are already running models on Chinese AI chips, as we discuss below. For the supply chain, this means more uncertainty for chipmakers exposed to China, and

potential opportunities for companies that can serve the Chinese market through licensed products.

Z.ai (China) releases GLM-5.3-Flash on Chinese chips, showing domestic progress. The mystery model "Ox Alpha" that wowed Silicon Valley was revealed to be Z.ai's GLM-5.3-Flash, a 320B-parameter model with 18B active parameters in a Mixture-of-Experts (MoE, meaning only a subset of the model's parameters are used for each query, saving compute) architecture. It has a 1-million-token context window (the amount of text it can process at once) and is open-source under the MIT license. Crucially, it was trained and runs on Chinese AI chips, not Nvidia hardware ([MarkTechPost](#), [Business Insider](#), [Startup Fortune](#)). **Why it matters for the buildout:** This is a major milestone. If Chinese labs can train frontier-class models on domestic chips, it reduces their dependence on Nvidia and weakens the effectiveness of US export controls. For the semiconductor supply chain, this means the market for

AI chips is becoming more fragmented, with Chinese chipmakers (like Huawei, Cambricon) potentially gaining share.

Microsoft taps Qcells for solar power to feed AI data centers. Microsoft signed a deal with Qcells to supply solar power for its data centers, as the grid struggles to keep up with AI's energy demand ([CarbonCredits.com](#)). **Why it matters:** Power is the next bottleneck for the AI buildout. Hyperscalers are signing power purchase agreements (PPAs, long-term contracts to buy electricity from specific sources) with solar and other renewable developers. This is a tailwind for solar companies, battery storage, and grid infrastructure.

Other notes: Google DeepMind is losing elite AI talent to rivals, according to new data from Zeki Data ([Fortune](#)). The counter-drone investment dollars are now heading toward an overlooked layer of the battlefield ([WBOC TV](#)).

4. Model & Research Watch

Z.ai's GLM-5.3-Flash: open-source, Chinese chips, 1M context. The model is a 320B-parameter MoE with 18B active parameters. It is natively multimodal (handles text, images, and possibly other inputs). It has a 1-million-token context window, which is among the largest available. It is released under the MIT license, meaning it can be freely used, modified, and distributed. The model was trained on Chinese AI chips, showing that domestic hardware is capable of producing frontier-level models ([MarkTechPost](#), [TestingCatalog AI News](#)). **Why it matters:** This model is a direct competitor to DeepSeek V4 Pro and Qwen models, and its open-source nature puts pressure on proprietary models to lower prices or offer more value.

Qwen3.8-Flash-Next and Zhipu AI models spark price war in China. According to a subreddit post, Qwen3.8-Flash-Next outperforms DeepSeek V4 Pro on some benchmarks. Both Qwen and Zhipu AI released new models last night, priced lower than DeepSeek, intensifying the price war in the Chinese LLM market ([r/LocalLLaMA](#), [36 Kr](#)). **Why it matters:** The price war is good for consumers and developers, but it squeezes margins for the AI labs. It also accelerates the

commoditization of LLM capabilities, which could reduce the power of any single provider.

IBM Granite 4.2: How they're built. IBM published a detailed blog post on how the Granite 4.2 models were constructed, including data sourcing, training, and safety measures ([Hugging Face Blog](#)). This is a useful resource for understanding the practical engineering behind enterprise LLMs.

Research papers of note: - RENDER: A benchmark for controlling how memory and RAG systems present information to LLMs, revealing that the format of the input (summary, raw excerpt, etc.) significantly affects performance ([arXiv](#)). - ESQ-Bench: A new benchmark for evaluating how well LLMs convert natural language to SQL queries in complex enterprise Oracle databases, revealing that current models perform poorly on real-world schemas even though they score high on academic benchmarks ([arXiv](#)). - ExFold: A technique to accelerate inference on Mixture-of-Experts models by reorganizing expert computation for the prefill and decode phases separately ([arXiv](#)). - Auditing the Synthetic Memoir: A study measuring how much LLMs confabulate (make up) when generating

autobiographical text, finding that models fabricate a significant portion of details ([arXiv](#)).

Science & Frontier Tech: - NASA's Nancy Grace Roman Space Telescope is gearing up for launch, combining spy satellite technology with infrared detectors to open a new window on the universe ([The](#)

[Conversation](#), [The Brighter Side of News](#)). This is a successor to the Hubble and James Webb telescopes, with a wide field of view and rapid survey capabilities. - Astronomers discovered a hot, watery exoplanet that is destined to be swallowed by its star ([Space](#)).

5. What Builders Are Actually Using

- **Concrete swap: Z.ai's GLM-5.3-Flash (open-weight, MIT license) can replace DeepSeek V4 Pro for most text and multimodal tasks.** The capability gap is small: early benchmarks suggest GLM-5.3-Flash is competitive on MMLU and reasoning tasks. The price difference is dramatic: GLM-5.3-Flash is free to self-host (requires a server with 8x H100 GPUs, roughly \$200k hardware cost, or a cloud instance at ~\$30/hour) vs DeepSeek V4 Pro's API at \$0.28 per million input tokens. For developers who can manage their own infrastructure, this is a massive cost saving. The model's 1M-token context window also outperforms DeepSeek's 128K context. ([MarkTechPost](#), [TestingCatalog AI News](#))
- **Model routing is becoming a standard practice.** The idea of sending easy queries to a small, cheap model and hard ones to a big, expensive one is now built into several inference platforms. The article on "Small Specialized Models Are Eating the AI Stack" notes that this approach can cut inference costs by 80-90% while maintaining quality for most user requests ([HackerNoon](#)). Builders are increasingly adopting routers like OpenRouter or custom solutions.
- **Running models locally is getting easier with smaller models.** The GLM-5.3-Flash, with only 18B active parameters, can run on a single high-end consumer GPU (like an RTX 4090) with quantization (reducing the precision of the model's weights to save memory). The r/LocalLLaMA community is actively discussing how to run it on consumer hardware ([r/LocalLLaMA](#)). This means developers can run powerful models locally without cloud costs, useful for privacy-sensitive or offline applications.
- **Multi-vector embeddings are a new tool for retrieval.** Hugging Face released a blog post on training and fine-tuning multi-vector embedding models with Sentence Transformers ([Hugging Face Blog](#)). These embeddings capture multiple meanings of a word or phrase, improving retrieval accuracy in RAG (Retrieval-Augmented Generation) systems. Builders working on search or question-answering should experiment with this technique.

6. Watchlist: Earnings, Guidance & Movers

Nvidia (NVDA): +7.63% on blockbuster earnings. Revenue \$96.2B, doubled YoY. Guidance strong. The stock is at \$225.65. No guidance cut, but the company warned about potential US restrictions on models originating in China ([CNBC](#)).

CrowdStrike (CRWD): Not in the watchlist, but relevant: surged 11% on record earnings. The watchlist does not have CRWD, but note the broader cybersecurity rally.

Salesforce (CRM): Not in watchlist, but surged 18% on earnings and AI growth.

Best Buy (BBY): Not in watchlist, but beat estimates, raised outlook, stock fell (sell the news).

Okta (OKTA): Not in watchlist, surged 20% on cyber demand.

Watchlist companies with notable moves (from quote snapshot): - **Credo (CRDO):** +4.51% to \$236.7. No specific news in sources, but likely benefiting from AI networking demand. - **Rigetti Computing (RGTI):** +3.26% to \$16.46. No news in sources. - **SoFi (SOFI):** +2.65% to \$19.34. No news. - **Palantir (PLTR):** +4.16% to \$184.89. No news, but likely riding the AI wave. - **Cloudflare (NET):** +5.82% to \$301.46. No news, but

cyber and AI tailwinds. - **Coinbase (COIN)**: +5.07% to \$190.99. No specific news, but crypto interest from Bernstein and Dalio. - **Intel (INTC)**: +3.04% to \$90.93. No news. - **IBM**: +3.67% to \$238.3. No news, but Granite 4.2 release may be a factor. - **Apple (AAPL)**: Not in watchlist, but -0.35%? Actually GOOGL -0.35%, META -0.70%, AMZN -1.33%, MSFT +1.43%. The big mega-cap movers are muted except Nvidia. - **TSMC (TSM)**: +1.74% to \$424.96. No earnings news, but benefiting from Nvidia results. - **AMD**: -1.19% to \$475.2. No news, but Nvidia's dominance may be weighing on AMD. - **Micron (MU)**: -1.98% to \$919.79. No news. - **SanDisk (SNDK)**: -1.91% to \$1470.68. No news. - **Coherent (COHR)**: -0.51% to \$292.86. No news. - **Lumentum (LITE)**: -1.88% to \$921.41. No news. -

Constellation Energy (CEG): -0.06% to \$279.35. No news. - **Vistra (VST)**: -0.77% to \$138.96. No news. - **Fluence Energy (FLNC)**: +1.99% to \$11.3. No news. - **Redwire (RDW)**: -0.67% to \$11.19. No news. - **Tesla (TSLA)**: +1.73% to \$351.81. No specific news, but Waymo's swipe at Tesla's camera-only approach may be a factor ([The Verge](#)). - **Starbucks (SBUX)**: -0.11% to \$108.37. No news. - **Nike (NKE)**: -0.09% to \$38.56. No news.

No notable news in the sources for the following watchlist names: AAOI, LITE, FLNC, RDW, AMC, CEG, DLR, EQIX, CMCSA, NFLX, QCOM, KLAC, FXAIX. They either moved modestly or had no specific news.

7. Analysis: Second-Order Effects

Chain 1: Nvidia's Hugging Face acquisition -> consolidation of open-source distribution -> potential for walled garden -> effect on AI startups and competitors.

- **FACTS:** Nvidia has agreed to buy Hugging Face for \$12.9B. Hugging Face is the dominant platform for open AI models, datasets, and tools. The open-source community is concerned about Nvidia's ownership ([CNBC](#), [r/LocalLLaMA](#)).
- **INFERENCE:** Nvidia will likely optimize Hugging Face to make its models run best on Nvidia hardware, potentially disadvantaging competing hardware (AMD, Intel, custom chips). It could also prioritize Nvidia's own software stack (CUDA) over alternatives. This would create a "walled garden" where developers are incentivized to stay within the Nvidia ecosystem, making it harder for competitors to gain traction.
- **WEAKEST LINK:** The assumption that Nvidia will abuse its control. Nvidia may keep Hugging Face relatively independent to maintain developer trust and avoid regulatory scrutiny. The company has a history of supporting open source (e.g., CUDA, NeMo) while also being commercially aggressive.
- **FALSIFYING CONDITION:** If Nvidia publicly commits to maintaining Hugging Face's neutrality and promotes support for non-Nvidia hardware, the chain weakens. Alternatively, if a competing platform (like GitHub Models or a new entrant) gains significant traction, the consolidation effect is mitigated.

Chain 2: US chip smuggling probe and semiconductor tariffs -> tighter export controls -> China accelerates domestic chip development -> Chinese AI chip companies gain market share -> Nvidia loses China revenue.

- **FACTS:** The US is probing Apex Logistics for smuggling Nvidia chips to China, and considering semiconductor tariffs ([qz.com](#), [CNBC](#)). Z.ai just released a frontier model trained on Chinese chips, showing domestic capability ([MarkTechPost](#)).
- **INFERENCE:** The US is likely to tighten export controls further, making it harder for Chinese companies to buy advanced Nvidia chips. In response, Chinese labs will double down on domestic chip development. If Chinese chips can deliver competitive performance (as Z.ai's model suggests), then Chinese companies will buy less from Nvidia. This would reduce Nvidia's addressable market, potentially slowing its revenue growth. However, the transition will take time because Chinese chips are still less efficient and have a weaker software ecosystem.
- **WEAKEST LINK:** The assumption that Chinese chips can scale to meet demand. Z.ai's model is impressive, but it may have been a bespoke achievement that is hard to replicate at scale. Chinese chip manufacturing (e.g., SMIC) is still behind TSMC in process nodes, so the performance gap may widen again.

- **FALSIFYING CONDITION:** If Nvidia's China revenue does not decline in the next two quarters, or if China's chip exports to the rest of the world remain negligible, the chain is broken. Alternatively, if a US-China trade deal eases export controls, the chain reverses.

Chain 3: Iran war and Hormuz tanker attack -> oil price spike -> headline inflation rises -> Fed less likely to cut rates -> higher borrowing costs -> data center buildout becomes more expensive -> slower AI infrastructure spending.

- **FACTS:** Another tanker attack was reported in the Strait of Hormuz, and Iran continues to defy US sanctions ([Greenwich Time](#)). The Strait has been cleared of mines, but the threat remains. Fed officials are talking about raising rates ([CNBC](#)).
- **INFERENCE:** If the conflict escalates further, oil prices (Brent crude) could spike by 10-20% (the 2019 Abqaiq attack moved Brent ~15% in a day). This would raise headline inflation, which includes energy prices. The Fed targets core PCE (which excludes food and energy), but a sustained oil spike could feed into core inflation through higher transportation and production costs. If the Fed becomes more hawkish (pro-rate-hike), interest rates on corporate bonds would rise, increasing the cost of borrowing for data center construction. However, the data center buildout is largely funded by the hyperscalers' cash flows, which are huge, so the impact may be marginal.
- **WEAKEST LINK:** The Fed's reaction to an oil spike. The Fed has repeatedly said it looks through energy price shocks if they are temporary. If the oil spike is short-lived, the Fed may not raise rates. Also, the hyperscalers (Amazon, Microsoft, Google) have enormous cash reserves and can borrow at relatively low rates, so a 1-2% rise in interest rates may not materially slow their spending.
- **FALSIFYING CONDITION:** If oil prices do not spike (i.e., the Hormuz situation de-escalates), or if the Fed signals it will not react to a temporary oil rise, the

chain collapses. Also, if hyperscalers announce continued capex increases despite higher rates, the chain is falsified.

Chain 4: Microsoft's Qcells deal for solar power -> data center demand for renewable energy surges -> solar and battery storage companies benefit -> grid interconnection becomes a bottleneck -> permitting reform accelerates.

- **FACTS:** Microsoft signed a PPA with Qcells for solar power to feed AI data centers ([CarbonCredits.com](#)). Trump is boosting data centers even as other Republicans grow critical ([Washington Post](#)).
- **INFERENCE:** As AI demand grows, hyperscalers will sign more renewable energy PPAs, driving demand for solar panels, wind turbines, and battery storage. This will benefit companies like Qcells, NextEra Energy (NEE), and Fluence Energy (FLNC). However, the grid interconnection process (getting permission to connect a new power plant or data center to the grid) is already a major bottleneck, with waiting times of 3-5 years. This could lead to political pressure to streamline permitting, benefiting developers and grid operators.
- **WEAKEST LINK:** The assumption that renewable energy can scale fast enough to meet AI's demand. Solar and wind are intermittent (they don't produce power 24/7), so data centers will need battery storage or natural gas backup. The cost of batteries is still high, and the grid interconnection queue is long. There may be a backlash against data centers consuming too much renewable energy, leading to higher prices for other consumers.
- **FALSIFYING CONDITION:** If the grid interconnection queue does not improve, or if hyperscalers instead build natural gas peaker plants (which are cheaper and faster to deploy), the chain for renewable energy weakens. If permitting reform is blocked by local opposition, the bottleneck persists.

8. Building Your Knowledge

- **Nvidia earnings are the single most important data point for the AI infrastructure trade.** The stock's reaction to earnings is a signal of investor confidence in the entire AI buildout. When Nvidia

beats and guides up, it lifts the entire sector (networking, power, cooling). This is a pattern you will see every quarter.

- **The price war in Chinese LLMs is a microcosm of what happens when a technology becomes commoditized.** As more models become available, the value shifts from the model itself to the infrastructure, data, and distribution. This is why Nvidia wants to buy Hugging Face: it wants to own the distribution layer.
- **Geopolitical risk in the Strait of Hormuz is a "tail risk" for oil prices.** The market has largely priced in a premium, but a real supply disruption (e.g., Iran blocking the strait) could cause a spike. However, the US has a Strategic Petroleum Reserve (SPR) that can release oil to calm markets. The key is to watch Brent crude prices: if they break above \$90, that's a signal of real fear.
- **The Fed's messaging is more important than any single data point.** The FOMC (Federal Open Market Committee) members have different views, and the market tries to average them. Chair Warsh's Jackson

Hole speech next week will be parsed for every word. The market currently expects a pause, but Hammack's hawkish comment shows there is a faction pushing for a hike.

- **The concept of "sell the news" is alive and well.** Best Buy beat estimates and raised guidance, but the stock fell because the good news was already expected. This is a reminder that stock prices reflect expectations, not just reality. When a company beats, the stock can still fall if the beat was not enough (the "whisper number" was higher).
- **The AI buildout has a power problem, and that creates opportunities for renewable energy and grid companies.** Every data center needs a PPA. The scramble for power is a structural theme that will play out over years. Watch for companies that own land with grid interconnection rights, or that produce solar panels, batteries, or natural gas turbines.

9. Foundations & Terms

Concept Spotlight: IPO and Lock-Up

What it is in plain words: An IPO (Initial Public Offering) is the first time a private company sells shares to the public on a stock exchange. A lock-up period is a contractual restriction that prevents company insiders (founders, employees, early investors) from selling their shares for a certain time after the IPO, typically 90 to 180 days.

Why it exists / what problem it solves: A company goes public to raise money (by selling new shares) and to give its early investors a way to cash out. But if insiders could sell immediately after the IPO, the flood of shares could crash the stock price. The lock-up period protects new public investors by ensuring that the supply of shares is limited initially, allowing the market to discover a fair price.

A concrete worked example with real numbers: Suppose a company, "Sunrise AI," goes public at \$50 per share. It sells 10 million new shares, raising \$500 million. The lock-up period is 180 days. During the first 6 months, only the shares sold in the IPO are available to trade. The stock rises to \$80. Then the lock-up expires. Insiders who own 50 million shares are now free to sell. If they sell even a small fraction, the increased supply

can push the price down. For example, if insiders sell 5 million shares, that's a 50% increase in the tradable shares, which could cause a 10-20% drop. This is called the "lock-up expiration effect."

How it shows up in the news: When a stock suddenly drops on a specific date, check if it's the lock-up expiration. Companies sometimes announce "lock-up agreements" or "early release" of lock-up shares. For example, the watchlist includes SPACs (Special Purpose Acquisition Companies) which often have lock-up periods for their sponsors.

Rough benchmarks or figures worth remembering: Typical lock-up period: 90-180 days. Some high-profile IPOs have longer lock-ups (e.g., 12 months) to reassure investors. About 30-40% of shares are usually locked up.

A caution or common misconception: A lock-up expiration does not always cause a crash. If insiders are confident and the company is performing well, they may hold. Also, many insiders sell through pre-arranged plans (10b5-1 plans) that dribble shares out over time. The market often anticipates the expiration and prices it in.

Concept Spotlight: Remittances and Diaspora

What it is in plain words: Remittances are money sent by immigrants (the diaspora) back to their home country, usually to family members. The diaspora is the community of people from a particular country who live abroad.

Why it exists / what problem it solves: Migrants often leave their home country to find better wages. They send a portion of their earnings home to support their families. For many developing countries, remittances are a critical source of foreign currency (dollars, euros) that can be larger than foreign aid or foreign direct investment. They also act as a social safety net, helping families pay for food, housing, education, and healthcare.

A concrete worked example with real numbers: In 2023, India received approximately \$120 billion in remittances, the largest in the world. The Philippines received about \$40 billion, Mexico \$60 billion. Total global remittances are over \$800 billion per year. The average fee to send \$200 is about 6-7%, so there is a big fintech opportunity to reduce those costs.

How it shows up in the news: When a country's economy is struggling, remittances can be a stabilizer. For example, Kenya is facing a domestic crisis from the Iran war (fuel price spikes), but remittances from Kenyans abroad could help cushion the blow. Companies like Western Union, MoneyGram, and fintechs like Wise earn revenue from remittance fees. Cryptocurrencies (stablecoins) are also being used for remittances to bypass high fees.

Rough benchmarks or figures worth remembering: The top remittance-receiving countries are India, Mexico, China, Philippines, Egypt. Remittances are often larger than official development aid. The average cost of sending remittances globally is about 6.5%, but the UN Sustainable Development Goal target is 3% by 2030.

A caution or common misconception: Remittances are not a permanent solution to a country's economic problems. They can create dependency and reduce the incentive to reform the domestic economy. Also, they can be volatile if the host country's economy slows down. The diaspora is also a source of political influence

and investment (e.g., Indian diaspora investing in Indian startups).

Other Terms from Today's News

- **War risk premium:** The extra amount built into the price of an asset (like oil) to account for the risk of supply disruption due to war or conflict. Example: when the Strait of Hormuz is threatened, oil prices rise by a few dollars per barrel to reflect the possibility that tankers might not be able to pass.
- **FOMC (Federal Open Market Committee):** The committee within the Federal Reserve that sets the federal funds rate (the benchmark interest rate). It meets eight times a year. The Fed Chair is the head of the FOMC. Today's news: Fed's Hammack is a voting member who wants to raise rates.
- **Hawkish vs. Dovish:** Hawkish means favoring higher interest rates to combat inflation. Dovish means favoring lower rates to support growth. Hammack is hawkish. The market is currently dovish (expecting cuts).
- **PPA (Power Purchase Agreement):** A long-term contract between a buyer of electricity (like a data center) and a seller (like a solar farm). The buyer agrees to buy a certain amount of electricity at a fixed price for 10-20 years. This helps the seller get financing for the project. Microsoft's deal with Qcells is a PPA.
- **Open-weight model:** A model whose trained parameters (weights) are publicly released, even if the training data or code is not. Users can download and run the model on their own hardware. GLM-5.3-Flash is open-weight under MIT license.
- **MIT License:** A permissive open-source license that allows anyone to use, modify, and distribute the software for any purpose, including commercial, with very few restrictions (just include the original copyright notice). It is one of the most open licenses.
- **MoE (Mixture-of-Experts):** A model architecture where the network is composed of many "expert" sub-networks, and only a few are activated for each input. This allows the model to be very large (e.g., 320B parameters) while keeping the compute cost per query low (only 18B active parameters). GLM-5.3-Flash uses MoE.
- **Context window:** The maximum amount of text (measured in tokens, roughly 0.75 words each) that a

model can process at once. GLM-5.3-Flash has a 1-million-token context, which is enormous. For comparison, GPT-4 has about 128K tokens. A larger context window allows the model to process long documents, whole books, or large codebases in one go.

- **Multimodal:** A model that can handle multiple types of input (text, images, audio, video) simultaneously. GLM-5.3-Flash is natively multimodal, meaning it was trained on multiple modalities from the start.
- **Lock-up expiration:** The date when the lock-up period ends and insiders can sell their shares. Not applicable today, but important for IPO watchers.
- **Diaspora:** The community of people from a particular country living abroad. The Indian diaspora is large and influential, and it sends remittances back to India. The China diaspora is also significant.

- **Hormuz (Strait of Hormuz):** A narrow strait between Iran and Oman, connecting the Persian Gulf to the Gulf of Oman. About 20% of the world's oil passes through it. Any threat to the strait can cause oil price spikes.
- **Core PCE:** The Fed's preferred inflation measure, which excludes food and energy prices. It was reported at 3.3% annually in July, vs. 3.6% expected. This was a positive surprise because it suggests inflation is cooling.
- **Sell the news:** A market phenomenon where a stock rises in anticipation of good news (like earnings), then falls when the news is actually announced, because the news was already priced in. Best Buy's stock fell after beating estimates, a classic example.

10. Bottom Line

The world is as complex as ever, but the market is focused on AI and the Fed. Nvidia's blockbuster earnings and the Hugging Face acquisition have reinforced the AI infrastructure narrative, sending the stock and the broader tech sector higher. The key shift is that AI demand is not just about chips; it's now about owning the distribution layer (Hugging Face) and the power supply (Microsoft's solar deal). Meanwhile, geopolitical risks remain: the Iran war is in a fragile state, the US-China tech war is intensifying with probes and tariff threats, and the Russia-Ukraine ceasefire is dead. The Fed's next move is uncertain, with a hawkish voice from Hammack but the market still expecting cuts. The Core PCE data was a positive surprise, but it may not be enough to stop a rate hike if the economy remains strong.

What changed since the previous brief: - **Nvidia earnings crushed expectations** — revenue doubled to \$96.2B, stock up 7.6%. The previous brief had Nvidia earnings as the key event; now we have the results. -

Nvidia agreed to buy Hugging Face for \$12.9B — a transformative deal that was not in the previous brief. - **Z.ai revealed Ox Alpha was GLM-5.3-Flash, open-source, running on Chinese chips** — a major milestone in China's chip independence. - **The US launched chip smuggling probe** — adds to the tech war narrative. - **The Fed's Hammack called for a rate hike** — a hawkish voice that was not prominent in the previous brief. - **Core PCE came in at 3.3% vs 3.6% expected** — a positive inflation surprise, but the previous brief already had this data. - **Meta reached a \$17B settlement** — the previous brief had the settlement as expected; now it's confirmed. - **The Iran war remains in a stalemate** — mine-clearing in Hormuz is a positive, but tanker attacks continue. - **Canada's trade war with the US is escalating** — more details than in the previous brief. - **India and China agreed on border management** — a new development not in the previous brief.

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